CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E228DD7A2
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: mbaldwin <mbaldwin@igservice.com>
Sent: Fri, 12 May 2000 07:14:00 -0700 (PDT)
To: Susan Scott <sscott3@enron.com>, Jeff Fawcett <jfawcet@enron.com>
Cc: Tim Aron <taron2@enron.com>
Subject: Potential Rebuttal Testimony - Socal OIR

Jeff & Susan,

Per your request, I have outlined potential rebuttal testimony points for your consideration. I recommend that we minimize our testimony to distinct points without extensive elaboration whenever possible and/or coordinate our ideas into Socal sponsored testimony.

Kern Rebuttal:

Transwestern desires to clarify Kern's request modification to the Comprehensive Settlement into two parts. Kern is not correct in its allegation that new or expanded interconnections have only secondary rights in order to "discourage new pipeline interconnections" with Socal Gas. On the contrary, the Settlement parties envisioned that future market conditions may warrant such new supply interconnects and nothing in the Comprehensive Settlement denies such interconnections from occurring. Specifically, Transwestern and other parties simply did not want any such new interconnects disrupting existing shippers primary firm rights. A benefit during the entire settlement period is that holders of Socal backbone capacity have stability and certainty for their backbone capacity entitlements.

On the second part of Kern's request to modify the Comprehensive Settlement by allowing new supply interconnections "primary firm receipt capacity, where such new interconnections do not degrade existing delivery capacity at the existing Socal Gas receipt points.", the Comprehensive Settlement does not prohibit such an outcome. The Settlement parties simply envision that this matter and any other pertinent interconnection issues would be negotiated between Socal and the new interconnection counter party or would be determined in a separate Commission Application.

PG&E :

I think we need to play this problem as we have been, through private off line discussions. If the Indicated Producer Group members can get comfortable then we will find the right means to modify the Comprehensive Agreement.

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Post Interim Settlement (PIS) :

P8. The PIS correctly observes that there have been serious concerns with respect to Socal Gas "windowing" procedures but incorrectly characterizes the adoption of primary/secondary receipt point protocol outlined in the Comprehensive Settlement as a "resort to extreme measures". Transwestern has operated its own FERC pipeline system under such a protocol with great success and customer satisfaction. The primary/secondary protocol is a proven workable solution. The PIS receipt point protocol is an modified "windowing" procedure which does not offer a long term solution to receipt point access on the Socal system.

P13. YAP The PIS proponents suggest "it may be possible to put a system of capacity rights into practice,". Transwestern agrees that it is possible and in fact the Comprehensive Settlement does in fact accomplish the possible. While Transwestern agrees that customers are currently benefiting from competitively priced gas at the interstate/intrastate Socal border, we see no evidence that the unbundling of Socal's backbone system will reduce the competitive environment
at the Socal border. In fact, the PIS consistently fails to recognize the creation of an additional Socal competitive trading point, the Socal citygate. All customers will have increase trading opportunities not less.

P14. The PIS proponents suggest that a "bottleneck situation" could occur at the Socal citygate. Transwestern simply disagrees. The full 3500 mmfcd a day of existing interstate capacity is available to supply the citygate market. Most importantly, in addition to these supplies the entirety of Socal storage withdrawal capacity (over 3 Bcf/d) also trades at the Citygate point on the Socal system. In view of potential new storage development in Socal,this Citygate capacity could even increase. So rather than a "bottleneck situation" at the Citygate, Socal customers would reasonably expect to enjoy even greater capacities than currently available at the Socal border.

P14. The PIS proponents simply are incorrect that marketers could increase prices by withholding
backbone capacity during alleged "constrain periods". SoCal and the parties assured that Socal has the full opportunity to sell either operational available firm capacity or interruptible capacity at anytime. If a firm backbone capacity holder is not utilizing their full capacity entitlements , Socal can sell interruptible services.

P17. The problem identified by the PIS testimony where generators do not receive confirmation of their electric bid award from the PX until after the first gas nomination cycle is manageable under the Comprehensive Settlement

primary/secondary protocol. Firm primary receipt point capacity holders have full use of their backbone capacity through the first 3 nomination cycles. That is to say, generators can bid competitively into the PX market and be absolutely certain that their Socal primary access and backbone transmission service capacities will be available to them. These certainties do not exist under the current or contemplated "windowing" procedure. The Comprehensive Settlement offers a real long term improvement for generators.